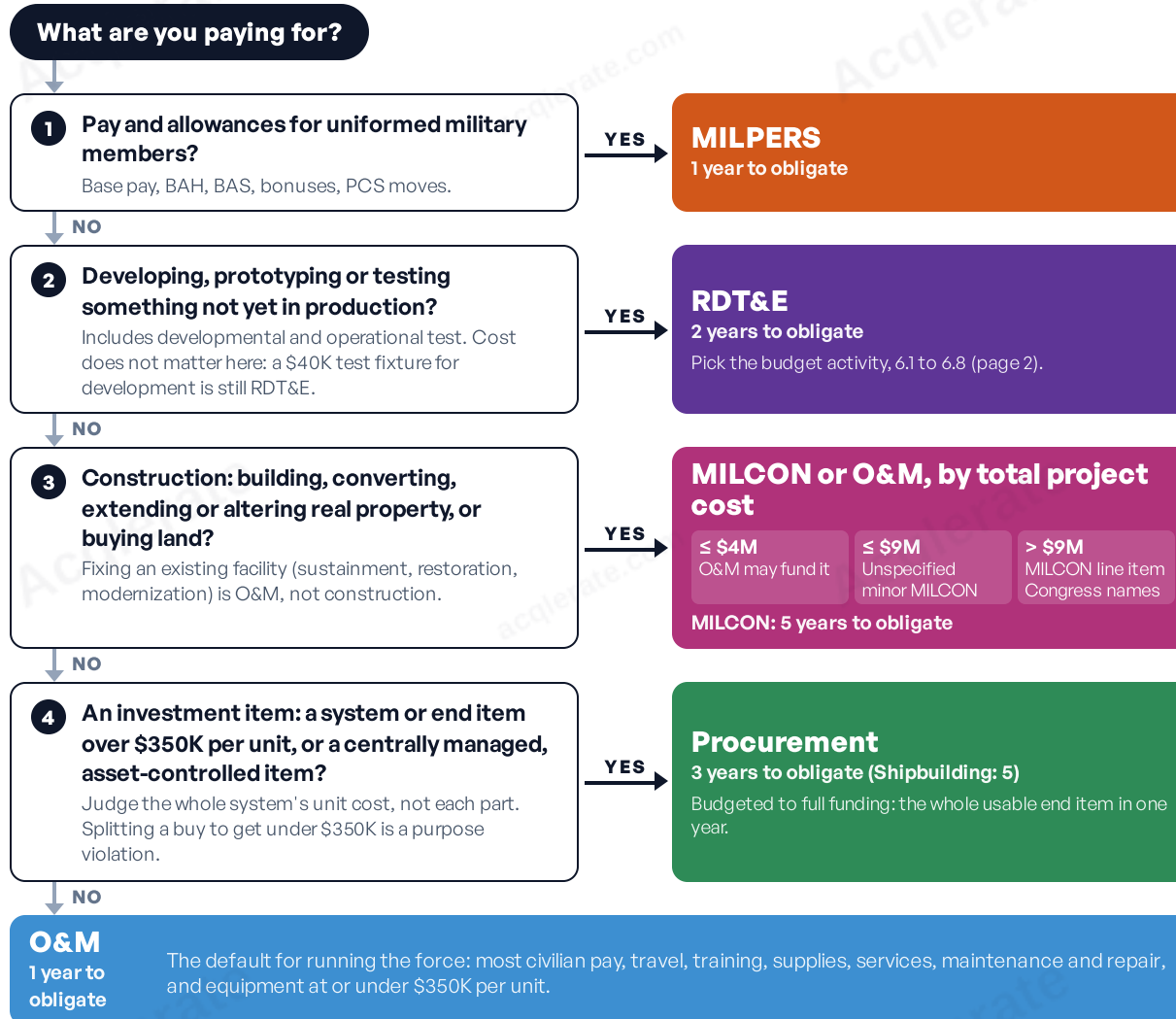


Color of Money Decision Tree

Which appropriation pays for it? Ask the questions in order and stop at the first yes.



Three rules behind every answer

Purpose	Spend it only on what Congress appropriated it for. 31 U.S.C. §1301(a)
Time	The need must arise while the money is available (bona fide need). Severable services may run up to 12 months from award. 31 U.S.C. §1502; 10 U.S.C. §3133
Amount	Never obligate more than is available, or before it is available. Antideficiency Act, 31 U.S.C. §§1341, 1517

Get it wrong and it is personal

A purpose or time error becomes an Antideficiency Act violation when the right money was not there to fix it. Violations are reported to the President and Congress, and the responsible person faces discipline. Knowing and willful violations carry up to a \$5,000 fine and 2 years.

31 U.S.C. §§1349, 1350, 1351

Common traps

- Splitting one system into sub-\$350K buys to use O&M.
- Using this year's O&M for next year's supplies.
- Doing development work with O&M because it was on hand.
- Calling an addition or conversion a "repair".

Special cases exist: working capital funds, lab revitalization, software pilots. When unsure, ask your resource manager before you obligate.

Color of Money: Quick Reference

APPROPRIATION	TIME TO OBLIGATE	FUNDING POLICY	PAYS FOR	DOES NOT PAY FOR	EXAMPLE
 O&M	1 year	Annual	Most civilian pay, travel, training, supplies, services, maintenance and repair, equipment ≤ \$350K	Investment items over \$350K, development and test, military pay, construction over \$4M	Depot repair, TDY travel, IT help desk
 MILPERS	1 year	Annual	Military pay and allowances, PCS moves, bonuses, separation pay	Civilian pay, contractors, equipment	Monthly active-duty pay
 RDT&E	2 years	Incremental: fund the year's work	Research, prototypes, development, developmental and operational test, upgrades still in development	Production quantities, routine operations	EMD contract, prototype demo
 Procurement	3 years Shipbuilding: 5	Full funding: a whole usable end item	Systems and end items over \$350K, centrally managed items, initial spares, modification kits	Development and test, operating costs	Production lot, vehicle buy
 MILCON	5 years	Full funding	Construction projects over \$4M, land acquisition	Repair of existing facilities, equipment, operating costs	New hangar, barracks
 Working capital fund	No-year, revolving	Customers reimburse	Business-like support: depot maintenance, supply, transportation. Customers pay with their own appropriation	Direct mission costs outside the fund's charter	DLA supply buy

RDT&E budget activities

CODE	NAME	IN PLAIN ENGLISH
6.1	Basic Research	New knowledge, no specific system in mind
6.2	Applied Research	Aim that knowledge at a military problem
6.3	Advanced Technology Development	Prove it in a relevant environment
6.4	Advanced Component Development and Prototypes	Prototype the system concept
6.5	System Development and Demonstration	Engineering and manufacturing development
6.6	RDT&E Management Support	Test ranges, labs, R&D support
6.7	Operational Systems Development	Upgrades to systems already fielded
6.8	Software and Digital Technology Pilot Programs	One software line for its whole life

\$350K

Expense/investment line. Over it, an end item is Procurement.

DoD Approps Act 2023 §8039, carried forward

\$4M

The most O&M can spend on one minor construction project.

10 U.S.C. §2805(c)

\$9M

Ceiling for unspecified minor MILCON. Above it, Congress names the project.

10 U.S.C. §2805(a)

12 months

Longest a severable service can run on one year's O&M.

10 U.S.C. §3133

After the money expires

When its time to obligate runs out, money is **expired**. For 5 more years it can only adjust obligations made while it was current, such as in-scope cost growth on an existing contract. Then it **cancels**.

31 U.S.C. §§1552, 1553

Not the same \$350K

The **simplified acquisition threshold** is also \$350K (FAC 2025-06, Oct 1, 2025). It decides *how you buy*. The **expense/investment threshold** decides *which money you use*. Same number, different rules.